

The company was finally reorganized in 1936, the bondholders receiving shares in a real estate realization corporation and either a block of convertible preferred or a larger block of common stock in the reorganized company. Fortunately for the former bondholders these shares shortly became worth more than par and defaulted interest on the old bonds.

II. Berkey and Gay Furniture Co. First 6s, due serially 1927–1941. Amount of original issue \$1,500,000.

A. Protective provisions:

1. Secured by a first lien on fixed property valued at some \$4,400,000, or over 290% of the original issue. Additional bonds could be issued up to \$1,000,000 against pledge of additional property, but at a rate not exceeding 50% of the cost thereof.
2. The net current assets were to be maintained at \$2,000,000, and current assets were required to equal twice current liabilities.
3. The serial maturity was equivalent to a sinking fund averaging \$70,000 annually, which would retire two-thirds of the issue prior to maturity.

B. Statistical exhibit, Dec. 31, 1927.

1. Interest had been earned over three times in 1927; an average of about $4\frac{1}{2}$ times in 1922–1927; and not less than three times in any year of the six-year period.
2. Net current assets were \$3,698,000, or $2\frac{1}{2}$ times the \$1,460,000 of bonds outstanding.
3. Total tangible assets applicable to the issue were \$8,500,000 or about \$6,000 per bond.

C. History subsequent to 1927: Between Jan. 1, 1929 and July 31, 1931, the company reported losses aggregating nearly \$3,000,000. In 1930 alone the working capital shrank from \$2,900,000 to \$650,000. By July 1931 an excess of current liabilities was shown. Interest on the bonds was defaulted in November 1931. Receivers were appointed in February 1932. The installment of the bonds due May 1932 was defaulted. A decree directing foreclosure under the mortgage was issued in April 1933. The bonds, which had sold at par in 1928 and as high as 65 in March 1931, were worth only one cent on the dollar at the end of 1933.

A protective committee was formed for the bond issue following the default in bond interest. It is difficult to say whether or not prompter action on behalf of the bondholders would have availed anything in this disastrous situation. But